

the city, had a news staff of 100 compared with 150 at the CBS affiliate across town. Before Murphy arrived at ABC, the company employed 60 people to manage ABC's five television stations. Soon after the Cap Cities' acquisition, six people managed eight stations. WABC-TV in New York used to employ 600 people and generated 30 percent pretax margins. Once Murphy reconfigured the station, it employed 400 people with pretax margins north of 50 percent. Once a cost crisis was resolved, Murphy depended on Burke to manage operating decisions. He concentrated on acquisitions and shareholder assets.

Tenet: The Institutional Imperative

The basic economics of the broadcasting and network business assured Cap Cities it would generate ample cash flow. However, the industry's basic economics, coupled with Murphy's penchant for controlling costs, meant Cap Cities would have overwhelming cash flow. From 1988 through 1992, Cap Cities generated \$2.3 billion in unencumbered cash. Given these resources, some managers might be unable to resist the temptation to spend the money, buying businesses and expanding the corporate domain. Murphy, too, bought a few businesses. In 1990, he spent \$61 million acquiring small properties. At the time, the general market for most media properties was priced too high, he said.

Acquisitions had always been very important to Cap Cities in the development of its growth. Murphy was always on the lookout for media properties, but he remained steadfast in his discipline not to overpay for a company. Cap Cities, with its enormous cash flow, could easily gobble up other media properties, but as *BusinessWeek* reported, "Murphy would sometimes wait for years until he found the right property. He never made a deal just because he had the resources available to do it."²⁰ Murphy and Burke also realized that the media business was cyclical, and if a purchase was built on too much leverage, the risk to shareholders would be unacceptable. "Murphy never did a deal that either of us thought was capable of mortally wounding us," Burke said.²¹

A company that generates more cash than can be profitably reinvested in its business can buy growth, reduce leverage, or return the money to shareholders. Since Murphy was unwilling to pay the high asking prices for